EXECUTIVE SUMMARY

1. Introduction

Old folks in Amulung claim that the place got its name from a vine which was then abundant in the forest. Native called this vine " Am-a- mulung". Since then, the place came to be known as Amulung up to its operation as Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as second (2nd) class Municipality covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991" extended the powers of the Local Government units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

The audit covered the accounts and operations of the Municipality of Amulung, Cagayan for the year 2016 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

2. Financial Highlights

For CY 2016, the financial information of the municipality is presented below:

Particulars	2016	2015	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	424,816,186.25	279,678,237.04	145,137,949.21	51.89%
Liabilities	99,957,046.17	56,623,427.55	43,333,618.62	76.53%
Government Equity	324,859,140.08	223,054,809.49	101,804,330.59	45.64%
Result of Operations				
Income	121,540,905.92	110,736,401.40	10,804,504.52	9.76%
Expenses	91,830,976.55	67,347,617.05	24,483,359.49	36.35%
Appropriations, Allotments and Obligations				

Total Appropriation	170,903,323.11	118,707,893.23	52,195,429.88	43.97%
Total Obligations	77,539,627.40	64,599,150.24	12,940,477.16	20.03%
Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs				
Nat'l Gov't Offices	7,730,312.00	14,776,019.70		
Local Gov't Units	300,000.00	-0-	300,000.00	
Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs				
Local Gov't Units	47,000.00	47,000.00	-	

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of the presentation of the financial statements due to inability of management to complete the conduct of physical count of PPE and to submit the Report thereon rendering the PPE accounts with a net book value of P 137,644,615.41 unreliable.

4. Summary of Significant Observations and Recommendations

1. Cash advances granted to officials and employees of the municipality totaling P146,272.89 remained unliquidated as at year end because there was no follow up made by management on demand letters issued to these officials and employees.

   We recommended that management enforce strictly the submission of liquidation reports within the prescribed period.

2. Sixty four projects funded out of 20% development fund for CYs 2016 and in prior years totaling P47,944,990.79 were not implemented at year end due to inability of management to properly implement these projects on time.

   We recommended that the management should implement projects as planned and address the causes of delays in the implementation of development projects in order to maximize the utilization of funds. We also recommended that prior year's unexpended balances of 20% development fund of P 3,220,880.15 be reverted reprogrammed for other development projects.

3. Tobacco Excise Tax Fund (TETF) totaling P47,933,613.62 was not optimally utilized by management for the benefit of tobacco farmers of the municipality.

   We recommended that the Municipal Government implement projects as planned and address causes of delays in the implementation of projects in order to alleviate the plight of tobacco farmers. The unexpended balance of P18,160,668.47 should likewise be reprogrammed for TETF projects.

4. The release of the remaining share of the municipality from TETF for CY 2016 amounting to P47,815,130.00 was put on hold by DBM pending submission by management of the program of works on the proposed infrastructure projects to be funded out of this fund.

   We recommended that management should comply with DBM requirement to submit the individual program of work on the proposed infrastructure projects to be funded out of TETF for the latter to release the remaining share of Municipality from tobacco excise tax fund and to fast track implementation of these projects.

5. LDRRMF unexpended balances in CYs 2012-2014 totaling P10,861,618.90 reprogrammed for projects and activities aimed at enhancing disaster preparedness and response capabilities of the municipality remained unimplemented due to failure of management to fast track its procurement activity.

   We recommended that the Municipal Government implement projects as planned and address causes of delays in the implementation of activities listed in the Municipal Disaster Risk Reduction Management Plan to enhance disaster preparedness and response capabilities at all levels in the locality.

Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2016:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
Disallowances					
Prior Years	₱ 18,546,687.06	0.00	217,957.45	₱18,328,729.61	1.18%
Current Years	0.00	0.00		0.00	0.00
Total	₱ 18,546,687.06	0.00	217,957.45	₱18,328,729.61	1.18%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

5. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of 12 audit recommendations contained in the CY 2015 Annual Audit Report, 1 was implemented, 7 were partially implemented and 4 were not implemented.